



EXPRESS KENYA LIMITED

The Audited results for the group for the year 31st December 2007 are announced as follows;

CONSOLIDATED INCOME STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2007

	Total Consolidated 2007 Kshs '000	Total Consolidated 2006 Kshs '000
Revenue	922,347	822,487
Cost of sales	(515,993)	(479,260)
Gross profit	406,354	343,227
Profit on sale of property, plant and equipment	2,417	10,090
Operating and administrative costs	(177,250)	(168,318)
Depreciation	(110,698)	(70,120)
Profit from operations	120,823	114,879
Net financing costs	(8,443)	(12,371)
Profit before tax	112,380	102,508
Income tax expense	(38,763)	(36,179)
Profit after tax	<u>73,617</u>	<u>66,329</u>
Basic and diluted earnings per share	Kshs <u>2.08</u>	Kshs <u>1.87</u>

CONSOLIDATED CASH FLOW STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2007

	2007 KShs '000	2006 KShs '000
Cash and cash equivalent at 1 January	(199,599)	(117,089)
Net Cash:		
Net cash inflows from operating activities	149,900	103,764
Net cash used in investing activities	(68,964)	(227,073)
Net cash (used in)/ from financing activities	(6,553)	40,799
Cash and cash equivalent at 31 December	<u>(125,216)</u>	<u>(199,599)</u>

CONSOLIDATED BALANCE SHEET AT 31 DECEMBER 2007

	2007 KShs '000	Group 2006 KShs '000	2007 KShs '000	Company 2006 KShs '000
ASSETS				
Non current assets	619,521	646,184	627,012	652,847
Current assets	<u>204,585</u>	<u>249,435</u>	<u>204,534</u>	<u>221,938</u>
TOTAL ASSETS	<u>824,106</u>	<u>895,619</u>	<u>831,546</u>	<u>874,785</u>
EQUITY AND LIABILITIES				
Capital and reserves				
Share capital	177,018	177,018	177,018	177,018
Reserves	249,574	186,463	205,020	137,265
Proposed dividend	17,702	14,162	17,702	14,162
Non current liabilities	123,617	133,703	123,617	126,865
Current liabilities	<u>256,195</u>	<u>384,273</u>	<u>308,189</u>	<u>419,475</u>
TOTAL EQUITY AND LIABILITIES	<u>824,106</u>	<u>895,619</u>	<u>831,546</u>	<u>874,785</u>

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2007

	Share Capital KShs '000	Share Premium KShs '000	Revaluation reserve KShs '000	Revenue reserve KShs '000	Proposed dividend KShs '000	Total KShs '000
Balance at 31 December 2006	177,018	10,501	127,655	48,307	14,162	377,643
Net profit for the year	-	-	-	73,617	-	73,617
Excess depreciation transfer	-	-	(3,147)	3,147	-	-
Deferred tax on excess depreciation transfer	-	-	944	(587)	-	357
Reversal of deferred tax on disposal of revalued assets	-	-	-	6,839	-	6,839
Transfer on disposals	-	-	(28,923)	28,923	-	-
Dividends Paid	-	-	-	-	(14,162)	(14,162)
Proposed paid	-	-	-	(17,702)	17,702	-
Balance at 31 December 2007	<u>177,018</u>	<u>10,501</u>	<u>96,529</u>	<u>142,544</u>	<u>17,702</u>	<u>444,294</u>

The financial statements were approved by the Board of Directors on 19th March 2008 and were audited by KPMG Kenya and received an unqualified audit opinion.

Performance

The growth in the group's turnover is attributed to increased sales volumes across all revenue centres, a high demand for transportation services, clearing and warehousing being the main contributors.

Overall, profit before tax grew by 9.6% as compared to 2006. Gross profit margin also grew from 41.7% (2006) to 44% which is in line with the company's objective of profitable growth.

Future Outlook

In pursuit of growth and market dominance, the group plans to further diversify its logistics services by tapping into other profitable opportunities presented by the robust economic growth and maintain a sustained growth pattern.

Dividend

The directors recommend for approval at the Annual General meeting, the payment of a first and final dividend of Ksh. 0.50 per share for the year ended 31st December 2007 subject to withholding tax where applicable.

BY ORDER OF THE BOARD

Dr. Chris Obura

CHAIRMAN